

Industrialization and modern growth



On the path to high growth and advanced development, countries inevitably industrialize, moving away from largely rural, agricultural societies. The Russian economist Simon Kuznets summarized the set of economic and social changes that this involves in the term 'modern economic growth'.

Societies undergoing this form of growth see rising living standards alongside a growing population: higher population no longer means lower income. The driver is 'structural transformation': workers move from fields and family farms to big companies and factories in the cities. The share of industrial production in national income starts to rise, accompanied by broader cultural trends such as secularization. Britain achieved modern economic growth with the Industrial Revolution of the 18th and 19th centuries. European nations, the United States and others followed soon after. However, many countries have

yet to make the transition and an explanation of the precise factors that trigger it remains elusive.